Balance Sheet as on 1st April 2018

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Buildings	50,000	
Rekha	84,000		Less: Depreciation	5,000	45,000
Mary	40,000		Stock	8,000	
Kavitha	16,000	1,40,000	Less: Decrease	2,000	6,000
Sundry creditors		20,000	Sundry debtors	60,000	
			Less: Provision for		
			doubtful debts	3,000	57,000
			Bank (32,000+20,000)		52,000
		1,60,000			1,60,000

Illustration 26

Ameer and Raja are partners sharing profits in the ratio of 3:2. Their balance sheet is shown as under on 31.12.2018.

Liabilities	₹	₹	Assets	₹
Capital accounts:			Machinery	60,000
Ameer	80,000		Furniture	40,000
Raja	70,000	1,50,000	Debtors	30,000
Reserve fund		15,000	Stock	10,000
Creditors		35,000	Prepaid insurance	40,000
			Cash at bank	20,000
		2,00,000		2,00,000

Rohit is admitted as a new partner who introduces a capital of ₹ 30,000 for his 1/5 share in future profits. He brings ₹ 10,000 for his share of goodwill.

Following revaluations are made:

(i) Stock is to be appreciated to ₹ 14,000

(ii) Furniture is to be depreciated by 5%

(iii) Machinery is to be revalued at ₹ 80,000

Prepare the necessary ledger accounts and the balance sheet after the admission.

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